After Ratan became chairman, Tata Sons, he demanded that the practice be stopped. Ratan was then only on the board of the steel company. Mody was both its MD and chairman, which gave him almost full control of the company's affairs. But Ratan was also group chairman and did not relent. He finally compelled Mody to stop. Following this, he made no secret of his determination to ensure that such a breach of the group's ethics did not happen again. He declared that Tata companies would not engage in any kind of secret funding.

He says: 'One of the first things I did when I took over was to make an announcement to all, quite openly, that we would not partake in anything [that would breach anything that] we hold dear as our ethical standard, etc. … There was a little pushback from some companies.' Many people from various companies approached him, even some from the Tata Administrative Services, 'young bright people', and told him: 'You are ruining our chances of getting ahead; this is not what you should be doing, and we have to move with [the] times.'

Ratan took the position that even if it disadvantaged the group companies, ethical standards would not be compromised. He institutionalized this by formulating the TCoC. In the process, the Tata Group became a world leader in adopting the practice. It did so even before the United Nations Convention against Corruption was adopted by its General Assembly in 2003 and similar rules were implemented by other world-famous companies; KPMG, for instance, introduced its global code only in 2005.

According to the Tata code, all the subscriber companies were required to 'share physical human and management resources with other Tata companies so long as it does not compromise shareholder value, provide the best quality in goods and services, act in national interest, [maintain] transparency in accounting and financial disclosure, strive for open market economy and safeguard the environment'.

The code prohibits support of 'any specific political party or candidate for political office' or 'give or take any payments to obtain business or favours, or give donation to any government agency to obtain any favourable performance of official duties'. With the code addressing 'both corporate and individual conduct', it served 'as a guide whenever ethical dilemmas' presented themselves before any Tata employee. Consequently,